UNGA GROUP Plc

FULL YEAR RESULTS

The directors are pleased to announce the audited financial results for the year ended 30 June 2020.

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For the year ended	June 2020 Shs'000	June 2019 Shs'000
Revenue	18,260,544	17,895,670
Operating profit	300,663	718,960
Finance income	19,248	62,990
Finance costs	(203,002)	(166,748)
Profit before tax	**116,909**	**615,202**
Tax expense	(50,748)	(70,388)
Profit for the year	**66,161**	**544,814**
Attributable to:		
Owners of the parent	**34,146**	**342,147**
Non-controlling interest	**32,015**	**202,667**
	66,161	**544,814**
Basic and diluted earnings per share (Shs)	**0.45**	**4.52**

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As at	30 June 2020 Shs'000	30 June 2019 Shs'000
ASSETS		
Non-Current Assets	4,137,927	3,969,430
Current Assets	7,912,949	6,676,636
Total Assets	**12,050,876**	**10,646,066**
EQUITY AND LIABILITIES		
Share Capital	378,535	378,535
Share Premium	73,148	73,148
Reserves	3,588,972	3,587,846
Minority Interests	2,050,498	2,015,881
Non-Current Liabilities	941,340	1,177,048
Current Liabilities	5,018,383	3,413,608
Total Equity and Liabilities	**12,050,876**	**10,646,066**

CONSOLIDATED STATEMENT OF CASH FLOWS

	30 June 2020 Shs'000	30 June 2019 Shs'000
Cash generated from operations	868,881	1,362,759
Tax paid	(82,738)	(540,841)
Interest paid	(179,688)	(113,046)
Net cash from operating activities	**606,455**	**708,872**
Net cash used in investing activities	(476,209)	(955,900)
Net cash (used in) / from financing activities	(297,476)	10,258
Net decrease in cash and & cash equivalents	**(167,230)**	**(236,770)**
At the beginning of the period	841,338	1,088,455
Effects of exchange rate changes	(12,621)	(10,347)
At the end of period	**661,487**	**841,338**

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share capital Shs'000	Share premium Shs'000	Other Reserves Shs'000	Revenue reserve Shs'000	**Equity attributable to equity holders Shs'000**	Non-controlling interest Shs'000	**Total Sh'000**
At 1 July 2019	**378,535**	**73,148**	**(46,131)**	**3,633,977**	**4,039,529**	**2,015,881**	**6,055,410**
Profit for the year	-	-	-	34,146	**34,146**	32,015	66,161
Other comprehensive Income for the year	-	-	4,833	-	**4,833**	2,603	7,436
Total comprehensive income for the year	**-**	**-**	**4,833**	**34,146**	**38,979**	**34,618**	**73,597**
Dividend paid to shareholders	-	-	-	(37,853)	**(37,853)**	-	(37,853)
At 30 June 2020	**378,535**	**73,148**	**(41,298)**	**3,630,270**	**4,040,655**	**2,050,499**	**6,091,153**

COMMENTARY

At Shs 18.2 Billion, the Group's revenue was up 2% from the prior year. However, volumes declined by 4% due to low consumer demand and aggressive pricing of finished products by competitors. Profit for the year declined by 88%. Prices of wheat and maize grain remained high through the year, caused by unfavorable local weather and rallying world wheat prices. This exerted pressure on margins, culminating in a reduction in profitability.

The animal nutrition business was affected negatively by low uptake of farm inputs. Farmers faced competition from meat, milk and egg imports from Uganda leading to unfavorable farm produce market prices. This led to the shrinking of demand for feeds, minerals, and animal health products.

The bakery business suffered a significant reduction in revenues, attributable to competition in the retail sector.

Finance costs increased due to capital expenditure and working capital related borrowing. Credit risk was and is still considered high, resulting in frequent suspension of sales to some key customers.

The Covid-19 pandemic further impacted the Group's performance as purchasing power for most households declined. Since the outbreak, there has been reduced consumer demand, interruption of our raw material supply chains, depreciation of the local currency, and unprecedented disruption of travel and hospitality operations. These have had a direct negative impact on the Group's businesses.

Outlook

With the existing challenges, the Board is cautious about the new financial year. While volumes may recover somewhat when the economy fully reopens and farmers move to correct the short supply of animal protein, raw material prices may remain high as witnessed in the first quarter of the current year. Credit risk is likely to remain high as trade partners recover from lost revenue. Further depreciation of the local currency will result in increased foreign currency translation exposure. The Board is taking several initiatives to deliver improved performance; these, among others, include right-sizing, automation and new product introductions.

In the current tough economic conditions, recovery of our business is largely dependent on healthy cash flows. There is need to preserve cash to support the previously mentioned initiatives as well as to invest in new business opportunities. The Directors therefore do not recommend the payment of a dividend.

By order of the Board

W Jumba
Company Secretary
24 September 2020